1. Business Objectives

Aims are the long-term goals of a business. They act as a framework for a business to create further objectives and set a purpose of the business.

1.2. Importance of business objectives

- An objective helps to direct, control and review any business activity.
- For any aim to be achieved successful, there have to be strategies in place which will guide the business to achieve the goal. These strategies must be reviewed constantly to know if it is effective.
- Every business's aims and strategies change over time.

1.3. Corporate objectives

- These are specific to a business and provide a much clearer guide for management.
    1. Profit maximisation –
        - It means producing at the level of output which leads to the greatest difference between total revenue and total costs.
        - The limitations of this corporate objective include:
            - If short term profits are high, competitors may enter jeopardizing the long-term survival
            - Issues of independence and retaining control maybe of higher importance
            - Analysts assess business performance through return on capital employed rather than profits
            - Shareholders may aim for profit maximisation but other stakeholders may want to prioritise other issues
            - Very difficult to assess when the maximised profit has reached
            - Negative impact on customers
    2. Profit satisficing –
        - It means achieving enough profits to keep the owners happy
    3. Growth –
        - Growth is measured through value of sales/output
        - Benefits –
            - Lesser chances of a takeover
            - Economies of scale
            - Motivated employees and managers
            - If not growing, may lose its appeal to new investors.
            3. Limitations –
                - Too rapid expansion may lead to cash flow problems
                - Growth may be achieved due to lower profit margins
                - Diseconomies of scale
                - Using retained earnings to finance profits will reduce dividends
                - May lose focus and direction is diversified

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4. Increasing market share –
    - It is possible for a company to grow but it's market share to reduce, if the market is expanding
    - If market share is high, it indicates the marketing mix of the business is successful than most of its competitors.
    - Benefits of being the market leader –
        - Retailers will be keen to maintain high profile clients, so may provide good quality and low prices
        - Higher profits, due to lower supply prices
        - Effective promotional campaigns to attract customers
5. Survival –
    - Mostly an objective for start ups
6. Corporate social responsibility (CSR) –
    - This concept applies to those businesses that consider the interests of society by taking responsibility for the impact of their decisions and activities on customers, employees, communities and the environment
    - Benefits –
        - Helps boost morale of employees as they feel more connected
        - Helps attract skilled workers
        - Workers have higher productivity and demand low wages
        - Helps build reputation as responsible leader, gives competitive advantage
        - May help reduce costs and improve profits as consumers will be willing to pay higher prices for sustainable products
        - It increases sales and builds customer loyalty. It helps attract investors
    - Limitations –
        - It leads to a rise in cost which affects profit margin adversely, especially in short-term.
        - It creates the necessity of hiring employees whose field of expertise contains the triple bottom line or training existing employees due to the complexity of CSR.
        - Accusation of greenwashing might be on the way which leads to bad publicity if firms commit to CSR only because of public image purposes rather than genuine concern.
        - If business commits and operates under belief of CSR, it might cause conflict of interest with objectives such as profit-maximising.
        - Stakeholders might put pressure on business during commence of CSR commitment, such as stakeholder questioning profit margins.
        - It might cause competitive disadvantages in pricing relative to competitors who does not commit to CSR.
7. Maximizing short-term sales revenue.
    - This is beneficial to managers and employees if salaries and bonuses contagious to change due to change in sales revenue levels
    - However, if higher sales is achieved by fall in product's price, profit of business decreases
8. Maximising shareholder value -
    - This involves increasing the share price of the company's stock

Objectives of Social Enterprise:

- Economic (financial): Re-invest high degree of profit back into business.

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- Social: To provide jobs or assist locals, especially marginalised communities.
- Environmental: Protect environment and operate business sustainably.

1.4. Corporate Social Responsibility – An Evaluation

- It is the concept that accepts that businesses should consider the interests on the society in their activities and decisions, beyond the legal obligations that they have.
- CSR distracts businesses from their key role of using scarce resources to their maximum and produce goods and services.
- CSR is a form of WINDOW DRESSING.
- If it is found that CSR is used as a PR activity, it will lead to bad word of mouth.
- CSR maybe expensive in the short run, but will help the business raise profits in the future.
- As it will lead to better reputation, lower regulations, chances of subsidies and grants, customer loyalty, etc.

1.5. SMART criteria

- Every business objective must meet the SMART criteria
  - S – Specific: the aim must focus on what the business does and must directly relate to the business's activities.
  - M – Measurable: every aim must have quantitative values to prove targets are being met effectively.
  - A – Achievable: aims which are impossible to achieve in a time period must not be set. Such aims will demotivate the employees.
  - R – realistic and relevant: aims should be realistic according to the resources available and must be relevant to the people carrying it out.
  - T – time-specific: there must be time limits to the objectives established.

1.6. Benefits of objectives

- They provide a sense of direction
- Helps improve focus of individual employees and departments
- Provides a framework for decision making
- Acts as a motivation tool
- Acts as a means of assess performance, progress and identify training needs
- Helps plan for future in terms of resources required

1.7. Factors that determine the corporate objectives of a business

1. Corporate culture
   - It is the code of behaviour and attitudes that influence decision making
2. Size and legal form of the business
   - Small businesses – profit satisficing
   - Public limited companies – growth, increase stock value
3. Public sector or private sector
   - Public sector – CSR
   - Private sector – profits
4. The number of years the business has been operating
5. Economic conditions
6. Ethics

1.8. Hierarchy of objectives

- This shows the balance and dependencies between the different stages of setting aims and objectives.

Figure 4.1 Hierarchy of objectives

1.9. Corporate aims

- These are long terms business goals and provides the central purpose of the business.
- These are objectives that translate the aims into achievable targets.

Advantages of corporate aims

- Help develop a sense of purpose and direction for the business
- Help check progress
- They help development of successful tactics and strategies

1.10. Mission statement

- Mission statement is a statement of a business's core aims, phrased in a way to motivate employees and to stimulate interests by outside groups.

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- It is a summary on how they intend to support/achieve their vision
- Businesses communicate their mission statement through – publishing it in their accounts, websites, banners, advertising posters, company newsletters, etc.

Benefits –

- Helps inform the external stakeholders about the aims and vision quickly
- It helps attract employees, potential investors, shareholders, etc.
- Help motivate employees
- Help guide and direct individual employee behaviour and conduct

Limitations –

- Can be easily adopted by any business of any size
- It is not specific to a business
- They are too vague and general
- Used as a PR activity
- Impossible to analyse

1.11. Relationship between mission statements, objectives, strategies and tactics

- Aims and objectives provide basis for business strategies as they are the long-term plans for the company.
- Strategies and tactics are derived from a company's corporate objectives.
- Strategy provides the path a business needs to follow in order to achieve a organisations corporate objective
- Tactics are more concreate and specific smaller steps for shorter time durations to achieve a strategy.

1.12. Objectives and decision making

Stages in decision making framework:

1. Set objectives
2. Assess the problem/situation
3. Gather data about the problem and find possible solutions
4. Consider all solutions and decisions
5. Make a strategic decision
6. Plan and implement the strategy
7. Review its success against original objectives

1.13. Changes in Business Objectives Over Time:

- Market conditions shift.
- Increase in intense competition.
- Technological improvement.
- Change in customer taste, fashion and attitude.
- Modification in regulation and rules.
- Economic changes.
- Growth or rationalisation of the business.
- Changes in leadership or set of directors.
- Expansion into new markets or foreign market.
- Mergers or Takeover.

1.14. Communicating Objectives:

Business must communicate their objectives with their internal stakeholders such as manager, employees, shareholders through meetings, conferences as well as external stakeholders through annual report that gets published or mission statement or via informal means.

Benefits to the business if employees are communicated with:

- Clear understanding of their own goals as well as the overall objective set for the firm.
- Employees can fit their personal goals with business objectives better in a way it might be motivating to them.
- Shared responsibility for targets across the company.
- Managers easily monitor progress and provide feedback.

Failure of communication between employees and managers might cause installment of fear and uncertainty in the employees, possibly making them resistant to change and take steps towards industrial action.

1.15. Ethics

Ethical Code:

Businesses follow a code of conduct that details rules and guideline on employee's behaviour that is required to be followed by all the employees.

Ethical Dilemmas:

Most businesses at one point of their lifespan falls into trade-off that is questionable morally, such as:

- Should a toy business advertise to kids to make their parents buy the toys?
- Is it okay to take bribes to place orders with another company?
- Should a bank invest in weapon-making firms that make weapons or test chemicals on animals?
- Is it right to feed genetically modified food to cattle?
- Should we accept lower profits in the short term to buy cleaner equipment?
- Should CEOs and directors get massive pay raises while other workers are being laid off?
- Is it fair to close a factory to save money if many people lose their jobs?
- Is it ethical to pay low wages and make people work long hours if the laws are weak?
- Should a company exploit child labour to save money if it's not illegal?

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- Is it ethical to make dangerous products as long as no one finds out?

1.16. Ethical influences on business objectives and decisions

- It is a document detailing a company's rules and guidelines on staff behaviour that must be followed
- It may be expensive in the short term
  - Ethical supply of raw materials is possibly more expensive
  - Avoiding bribes to finalise business contracts might result in failure of securing significant sales
  - Avoidance of price fixing with competitors might lead to lower profit margin due to reducing price
  - Raising wage cost by paying worker's fairly or rationalisation to pay same amount of wage to fewer workers, potentially leading to fall in competitiveness
- But, in the long term:
  - Avoid legal problems
  - Avoid bad publicity
  - Avoid pressure groups
  - May receive grants and subsidies
  - May attract skilled workers and investors

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